

DuPont Model

Margin

x

Turnover

x

Financial
Leverage

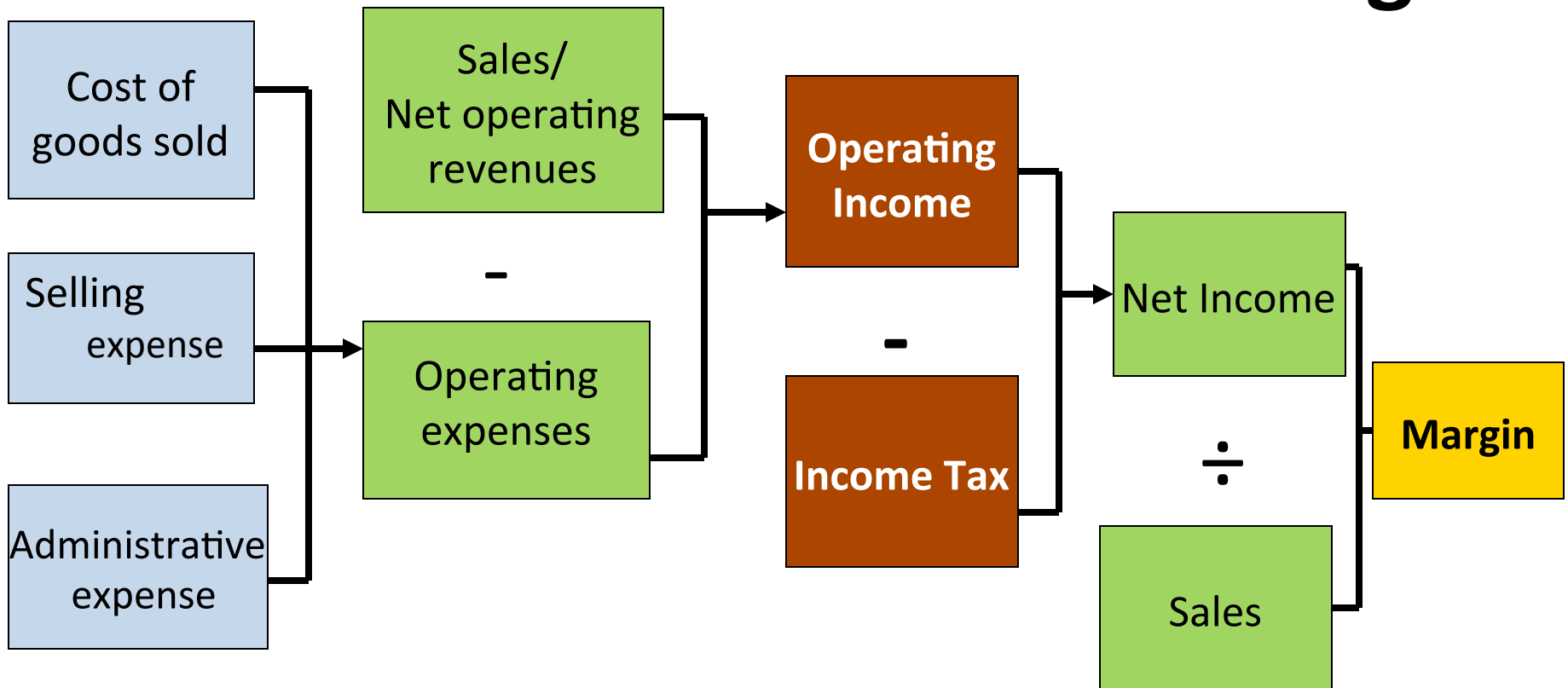
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ROE

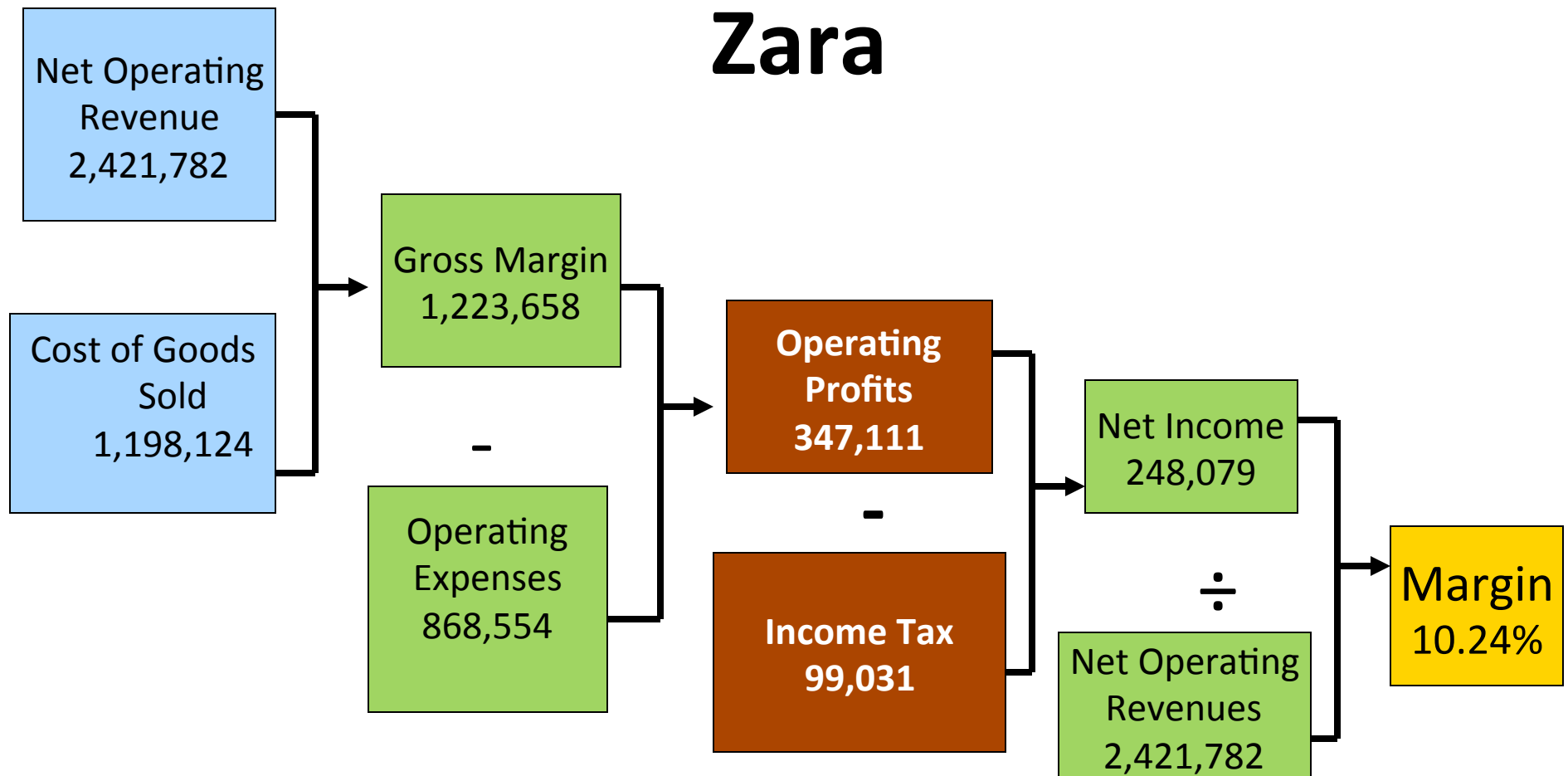
ROE Components

	Margin	Turnover	Leverage	ROE
Zara	10.24%	1.24	1.8	22.87%
Gap	6.42%	1.95	2.39	29.97%
H&M	13.12%	1.94	1.32	33.5%

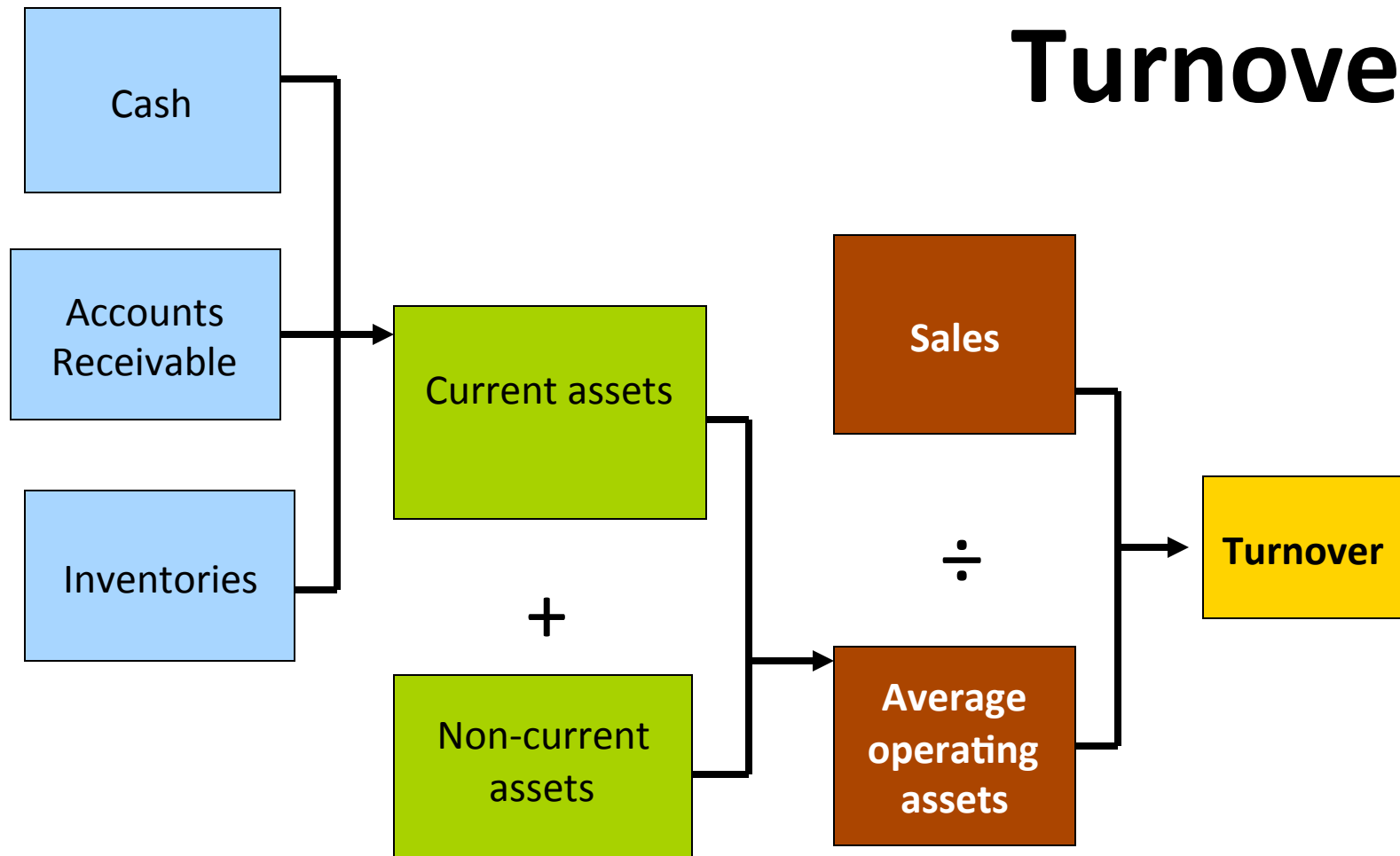
Margin



Zara



Turnover



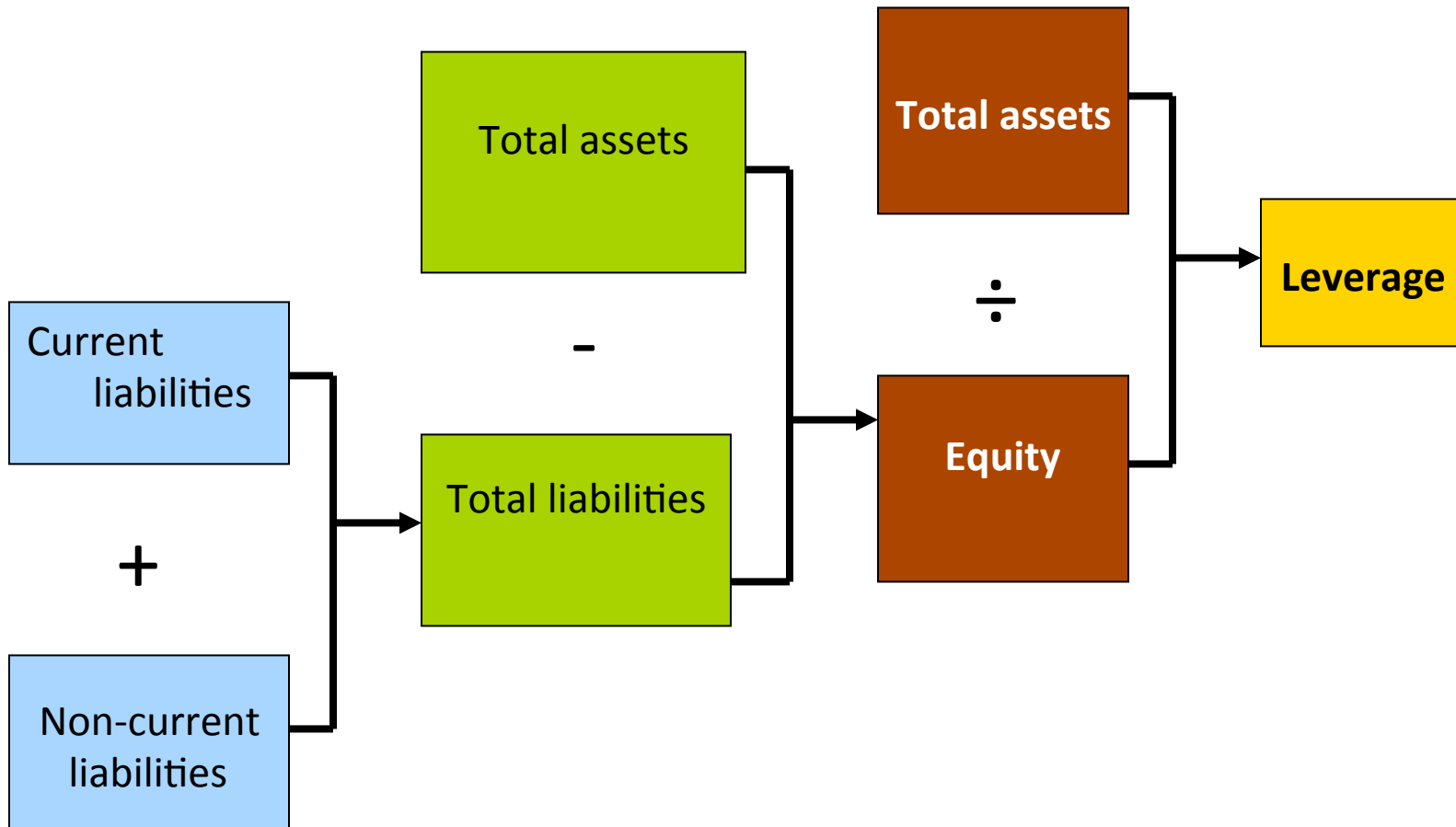
Zara

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graph LR; A["Inventories  
226,965"] --> C["Current assets  
556,001"]; B["Accounts Receivable  
140,219"] --> C; D["Cash & s.t.  
Investments  
188,827"] --> C; C --> E["Average operating assets  
1,952,091"]; F["Non-current assets  
1,369,080"] --> E; G["Sales  
2,421,782"] --> H["Turnover  
1.24"]; E --> H; I["÷"] --> H
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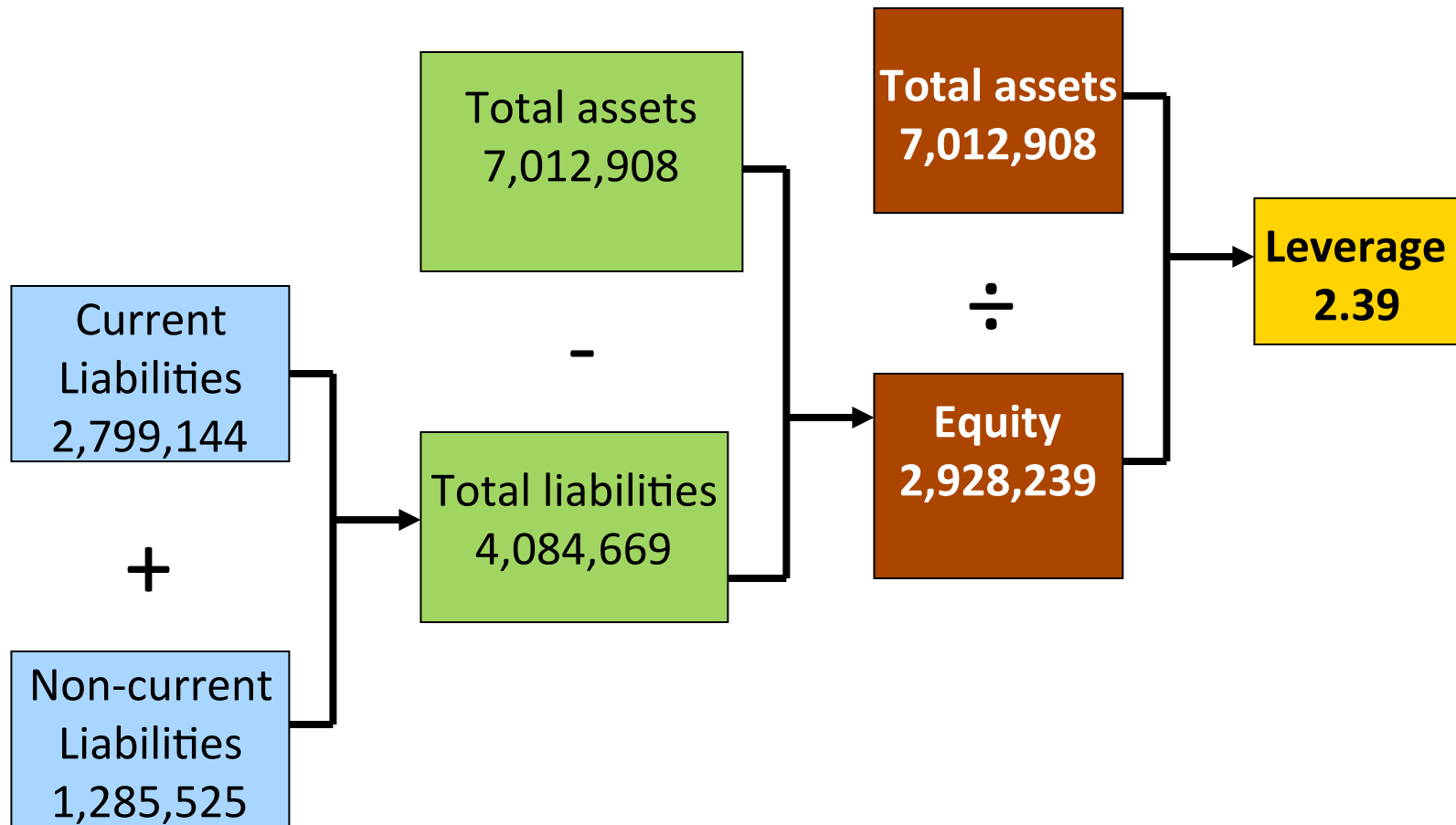
Component	Value
Inventories	226,965
Accounts Receivable	140,219
Cash & s.t. Investments	188,827
Current assets	556,001
Non-current assets	1,369,080
Average operating assets	1,952,091
Sales	2,421,782
Turnover	1.24

Turnover
1.24

Leverage



Gap



	Net Operating Revenues/ Inventories	Inventories/ Selling Meters	Net Operating Revenues/ Selling Meters	Selling Meters/ Employees	Net Operating Revenues/ Employees
Zara	\$10.67	\$422.98	\$4,513.27	29.49 sq/ft	\$133,092.76
Gap	\$7.18	\$652.62	\$4,686.34	24.41 sq/ft	\$114,403.11
H&M	\$6.85	\$758.18	\$5,190	28.04 sq/ft	\$145,512

GIMS: Garment Industry Management System

	GMROI (Gross Margin on Inventories)	GMROF (Gross Margin on Selling Meters)	GMROL (Gross Margin on Employees)
Zara	\$5.39	\$2,280.43	\$67,248.02
Gap	\$2.66	\$1,739.03	\$42,453.29
H&M	\$3.46	\$2,624	\$73,570